

Review by Kerem Coşar, Dec 2025

1. Review and evaluate the composition for the assigned subindex, including:
 - a. Evaluate the theoretical framework
 - i. Does our model of the subindex make sense, are we missing any vital elements of the concept?
See below for comments that address this as well
 - b. Determine the validity of the selected components
 - i. Are these components exhaustive of the concept, are there others we are missing?

In terms of labeling, including free flow of capital in a subindex titled 'Openness to International Trade' is problematic. International trade implies exchange of goods and services. Free flow of capital is neither necessary nor sufficient. A country can be open to one and closed to the other and vice versa. I understand that you want to incorporate financial openness but don't want to create a ninth subindex. That makes sense. Then why not call this subindex "openness to international flows", in which case you can incorporate openness to immigration/travel & visa restrictions as well. (I don't know if the 'Labor Migration' component in Openness of Labor Market is about international migration; if it is, it could be moved here)

The inclusion of 'Trade Participation' is also problematic since it is an outcome rather than a driver. Small countries have systematically higher trade participation. If you plot trade/GDP ratio against total GDP, it is a very strong negative relationship. So, this component makes large countries seem closed to international trade, whereas this is a result of them 'trading more with themselves' rather than a policy.

- c. Evaluate the relevance of the datasets that comprise those components, including the justifications for using certain datasets as proxies for concepts
 - i. Are there other datasets we should include?
*OECD STRI is a good one, but only measures Non-tariff barriers in services. Note that some of its sub-indices are actually restrictions for indirect investment. International Trade and Services has four modes. Mode 3 is effectively FDI. Since you are already using OECD's FDI Restrictions Index, it would make sense to use only Modes 1-2 STRI scores from OECD rather than the aggregate STRI index itself.
Also, UNCTAD has good data on non-tariff measures for trade in goods: <https://unctad.org/publication/unctad-trains-global-database-non-tariff-measures>*

- ii. Are there concerns with any particular datasets?

I find the Hamilton Indicator problematic. A low mean level with high variance could be driven by political economy forces in an otherwise open economy. Take the case of the US: pre-2017, the US was an open economy with some sectors enjoying persistently high protection. These are typically sectors with concentrated geographical concentration and organized lobbying. The sugar lobby being case in point. In sum, a low average level of tariffs with high variance does not necessarily indicate a deliberate industrial policy. It could just be a result of political economy and lobbying.

Similarly, the concentration of a country's trade across trade partners captured by the Herfindahl-Hirschman Index is to some extent driven by geography and free trade agreements (FTA). An FTA is a liberalizing act, but it also tends to increase the concentration index by diverting trade.

Overall Global Capitalism Index

1. Conduct a general review of the subindex and index structure of the Global Capitalism Index design, with a particular focus on the following questions:
 - a. Are any of the 8 subindices of capitalism not appropriate to include? *See above where I comments on this under the openness to trade index*
 - b. Are any major categories missing? *See above where I comments on this under the openness to trade index*
2. Review technical/weighting methodology for entire Index, in particular:
 - a. Evaluate the principal components analysis methodology
 - i. Do you concur with our decision to use PCA instead of a subjective weighting scheme?
YES
 - b. Does the description of the PCA process provide enough transparency?
YES

Output

1. Major categories of capitalism or datasets we should alter, add, or remove from the Index
 - a. Major methodological critiques
I don't have a methodological critique. It is sound to use principal component analysis to aggregate separate measures that tend to be very correlated. But then, there is always a tension between using specific indices that are focused and measure one thing well, and using multiple of them jointly when they are highly correlated. PCA transparently aggregates these. Where you could improve is to provide a stronger motivation for this exercise, along the lines I describe above: why do we need an aggregate index? Because...
 - b. Final evaluation of you would: **Recommend major revision and resubmission the Index model (including what major alterations would be necessary for the reviewer to reconsider)**